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Secure Distribution Venture Pvt. Ltd.

What Is Venture Debt Coordination ?

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Chapter 1: Product Overview & Core Philosophy of Venture Debt Coordination

Venture Debt Coordination represents a specialized financial advisory, credit structuring, and syndicate orchestration discipline in the Indian corporate finance market. It is engineered specifically to connect technology-driven, high-growth, venture-backed enterprises with institutional Venture Debt Category I and Category II Alternative Investment Funds (AIFs) and specialized Non-Banking Financial Companies (NBFCs).

Unlike conventional corporate term loans that rely on 3-year historical net profit track records and physical real estate collateral (factory land, commercial buildings, or residential mortgages), Venture Debt is an asset-light, prospective growth credit facility. It is extended to cash-burn or high-growth startups backed by marquee institutional Venture Capital (VC) equity sponsors.

The Financial Paradigm Shift: Equity Preservation & Runway Extension

In the lifecycle of a high-growth startup, raising pure equity (via Compulsorily Convertible Preference Shares - CCPS) at every growth stage leads to severe founder dilution. By Series B or C, founders frequently find their equity ownership diluted below 20% to 30%, eroding long-term operational control and alignment.

Venture Debt Coordination introduces a non-dilutive or minimally dilutive capital tranche into the startup's capital stack. By providing debt equal to 15% to 25% of the latest equity raise, venture debt extends the company's cash runway by 6 to 12 months. This extended runway enables the startup to hit higher operational milestones (e.g., doubling ARR or achieving EBITDA break-even) before raising the next equity round, thereby commanding a significantly higher valuation and saving 5% to 12% in founder equity dilution.

The Role of the Venture Debt Coordinator

Because venture debt operates at the intersection of venture capital equity valuation and structured debt underwriting, structuring a successful venture debt transaction requires complex coordination among multiple stakeholders. A Venture Debt Coordinator acts as the lead financial architect who:

1. Sizes the optimal debt tranche relative to current ARR, monthly cash burn, and unencumbered equity runway.

2. Negotiates competitive split coupons, interest-only moratorium periods, and warrant coverage percentages across multiple competing Venture Debt AIFs.

3. Aligns existing equity VC sponsors by negotiating Intercreditor Agreements (ICAs), information-sharing covenants, and board consent approvals.

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4. Manages statutory legal documentation, Debenture Trust Deed (DTD) execution, ROC Form CHG-1 charge filings, and CERSAI registrations.

> ■ **CORE PHILOSOPHY OF VENTURE DEBT**
> *Venture debt is not a alternative to equity; it is a complementary, non-dilutive leverage tool deployed alongside institutional equity rounds to extend cash runway, defer equity dilution, and accelerate valuation creation.*

Comparative Structural Matrix: Venture Debt vs. Alternate Capital Products

To clearly distinguish Venture Debt Coordination from other corporate financing options in India, the following multi-dimensional comparative matrix outlines key operational, structural, and legal differences:

Dimension	Venture Debt (Coordinated)	Pure VC Equity (CCPS)	Traditional Bank Loan	Revenue-Based Financing
Primary Underwriting Basis	VC Backing, ARR Growth & Cash Runway	TAM, Product-Market Fit & Future Valuation	3-Yr Historical Profits & Physical Collateral	Monthly Gross Revenues & Payment Gateway Flow
Equity Dilution	Minimally Dilutive (0.5% - 2.0% via Warrants)	Highly Dilutive (15.0% - 25.0% per round)	Zero Equity Dilution	Zero Equity Dilution
Collateral / Security	Hypothecation of Current Assets & IP + Share Pledge	None (Pure Equity Ownership)	1.5x - 2.0x Real Estate / Property Mortgage	Charge on Payment Gateway / Escrow Receivables
Pricing & Cost of Capital	12.0% - 15.0% Coupon + 1% - 3% Warrant Coverage	25.0%+ Expected Equity IRR	8.50% - 11.50% Bank Interest Rate	flat 6% - 12% Fee on Gross Collections

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Chapter 2: Structural Architecture & Mechanics of Venture Debt

Venture debt in India is primarily structured as Non-Convertible Debentures (NCDs) issued under Section 71 of the Companies Act, 2013 and subscribed by SEBI-registered Category I or II Alternative Investment Funds (AIFs) or specialized NBFCs.

The 4 Core Structural Components of Venture Debt

A. Base Principal Debt Note: 1. Senior Secured NCD Principal Tranche: The core debt note issued on a private placement basis (Form PAS-4) carrying a fixed tenure of 24 to 36 months.

B. Cash Coupon & Upfront Fees: 2. Split Coupon & Cash Servicing: Designed with a current cash coupon of 11.50% to 14.00% p.a. payable monthly, ensuring current yield for AIF investors while keeping operational debt service manageable for the startup.

C. Warrant Coverage: 3. Equity Purchase Warrants (The Equity Kicker): Detachable or embedded warrants issued to the lender giving them the right to purchase equity shares (or CCPS) at the current round valuation (or a nominal price of ₹10) up to 1.0% to 3.0% of the total loan amount. This warrant upside provides lenders with a participation kicker in the startup's exit growth.

D. Amortization Structure: 4. Moratorium & Amortization Schedules: Typically features a 3 to 12-month interest-only moratorium during which the startup pays only interest, followed by equal monthly principal amortization over the remaining tenure.

Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

To ring-fence cash flows and ensure debt service priority without disrupting operational payroll, venture debt transactions establish a structured Trust & Retention Account (TRA) Escrow framework:

Step 1 (Master Inflow Account): Gross Revenue Collections & VC Equity Inflows

Step 2 (Priority Waterfall 1): Statutory Taxes (GST, TDS, PF, ESI)

Step 3 (Priority Waterfall 2): Approved Essential Operating Expenses & Employee Payroll

Step 4 (Priority Waterfall 3): Venture Debt Monthly Coupon & Principal Amortization (EMI)

Step 5 (Priority Waterfall 4): Debt Service Reserve Account (DSRA) Replenishment (1-2 Months EMI)

Step 6 (Surplus Sweep): Unencumbered Cash Released to Company Operational Account

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Chapter 3: Regulatory, Statutory & Tax Framework in India

Venture debt transactions operate under a multi-layered regulatory architecture overseen by SEBI, the Reserve Bank of India (RBI), the Ministry of Corporate Affairs (MCA), and the Income Tax Department.

1. SEBI Alternative Investment Funds (AIF) Regulations, 2012

Domestic venture debt funds operate primarily as Category I (Venture Capital Funds / Social Venture Funds) or Category II AIFs under SEBI regulations. Category II AIFs are permitted to invest in unlisted debt securities (NCDs) issued by Indian companies, provided they do not engage in direct loan lending (as AIFs are securities investment vehicles, not banking institutions).

2. Companies Act, 2013 Statutory Compliance

A. Debenture Issuance Rules: Section 71 & Debenture Trust Deed (DTD): Mandates the execution of a Debenture Trust Deed within 60 days of allotment and the appointment of an independent, SEBI-registered Debenture Trustee to safeguard investor interests.

B. Private Placement & Warrant Approvals: Section 42 & Section 62(1)(c): Private placement offer letters (PAS-4) and Return of Allotment (PAS-3) must be filed with the Registrar of Companies (ROC) within 15 days of allotment. Warrant issuances require a 75% Special Resolution passed by shareholders.

C. Borrowing Limits: Section 180(1)(c): Borrowing limits exceeding the aggregate of paid-up share capital and free reserves require shareholder approval via a Special Resolution.

3. Income Tax Act, 1961 Engineering

A. Interest Tax Shield: Section 36(1)(iii) Tax Deductibility: Cash interest paid on venture debt debentures is a fully tax-deductible finance expense, creating a tax shield that reduces the effective cost of debt for tax-paying startups.

B. AIF Tax Pass-Through: Section 115UB Tax Pass-Through for Category II AIFs: Income earned by a Category II AIF trust is not taxed at the fund level; instead, tax pass-through status applies, taxing income directly in the hands of the fund's Limited Partners (LPs).

C. Angel Tax Landscape: Abolition of Section 56(2)(viib) 'Angel Tax': The abolition of Angel Tax under Budget 2024/2025 has eliminated tax friction on share premium received during warrant exercise and equity rounds for DPIIT-recognized startups.

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4. RBI FEMA FDI & Overseas Direct Investment Rules

When non-resident investors or foreign-owned AIFs participate in venture debt warrant exercises, pricing must comply with RBI FEMA Foreign Exchange Management rules. Equity share issuance upon warrant exercise must not fall below the Fair Market Value (FMV) calculated using the Discounted Cash Flow (DCF) methodology by an independent Chartered Accountant or SEBI-registered Merchant Banker.

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Chapter 4: Common Eligibility Criteria & Institutional Underwriting Benchmarks

Venture debt underwriting differs fundamentally from commercial bank credit evaluation. Lenders do not look for physical collateral; instead, they evaluate institutional equity backing, growth velocity, unit economics, and cash burn sustainability.

Quantitative Underwriting Benchmarks Table

The following table details the key quantitative underwriting benchmarks applied by institutional venture debt funds in India:

Underwriting Parameter	Minimum Institutional Benchmark	Target Ideal Profile
Institutional Equity Sponsor	Series A / B Equity Round Closed within 6-12 months	Marquee Tier-1 VC Lead Sponsor with Follow-on Reserves
Annual Recurring Revenue (ARR)	Minimum ₹10.00 Crores ARR	₹25.00 Crores to ₹150.00+ Crores ARR
Unencumbered Cash Runway	Minimum 6 Months post-debt deployment	9 to 18 Months post-debt deployment
Gross Margin %	Minimum > 40.0% Gross Margin	> 65.0% Gross Margin (SaaS > 75.0%)
LTV / CAC Ratio	LTV / CAC ≥ 2.5x	LTV / CAC ≥ 3.5x to 5.0x+
Monthly Burn Multiple	Net Cash Burn / Net New ARR ≤ 1.8x	Net Cash Burn / Net New ARR ≤ 1.0x to 1.2x
Venture Debt Sizing Rule	10.0% - 15.0% of latest Equity Round Size	15.0% - 25.0% of Equity Round OR 3.0x - 4.0x Monthly ARR

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation

While venture debt does not require physical mortgage property, it is a fully secured credit instrument under Indian law, backed by a comprehensive charge over the startup's current assets, intellectual property, and equity cap table.

The 4-Pillar Security Package

1. First Pari-Passu Hypothecation Charge over all current assets, trade receivables, inventory, bank accounts, and intellectual property (software code, patents, trademarks) registered on ROC Form CHG-1 under Section 77 of the Companies Act, 2013.

2. Demat Share Pledge over 26% to 51% of promoter equity shareholding deposited in NSDL/CDSL depositories with dynamic margin call protocols.

3. Exclusive Charge on Trust & Retention Account (TRA) Escrow Lockbox for automated collection sweeps.

4. Debt Service Reserve Account (DSRA) holding 1 to 2 quarters of principal and interest EMI servicing in pledged fixed deposits.

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Master Legal Documentation Suite

The legal execution framework comprises standardized, robust agreements:

Legal Document	Primary Executing Parties	Core Statutory & Structural Purpose
Debenture Trust Deed (DTD)	Company & Debenture Trustee	Governs Section 71 NCD issuance terms, interest rates, security creation, and trustee powers.
Master Facility Agreement (MFA)	Borrower & Venture Debt AIF / NBFC	Sets commercial covenants, drawdown conditions precedent (CPs), and Events of Default (EoDs).
Warrant Subscription Agreement	Issuer Company, Founders & Investor	Defines warrant coverage %, strike price (₹10 or valuation price), exercise window, and anti-dilution.
Escrow & TRA Agreement	Company, Debenture Trustee & Escrow Bank	Establishes priority cash flow waterfall and automated monthly EMI collection sweeps.
Intercreditor Agreement (ICA)	Equity VCs & Venture Debt Lenders	Coordinates standstill periods, information sharing, and enforcement order between equity and debt.

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Chapter 6: Indicative Tenure, Pricing, Suitable Sectors, Advantages & Risks

Understanding the commercial pricing, target profiles, and risk-return trade-offs is essential for founders and finance professionals evaluating venture debt.

Indicative Tenure & Pricing Structure

A. Facility Tenures: Tenure Profiles: Standard venture debt facilities carry a tenure of 24 to 36 months (2.0 to 3.0 years) with an initial 3 to 12-month interest-only moratorium.

B. All-In Yield Equation: Pricing Math: All-In Yield to Maturity (YTM) for venture debt in India ranges from 14.0% to 18.0% p.a., calculated using the formula:

> ■ **ALL-IN YIELD EQUATION**
>
> *All-In Venture Debt Yield (14.0% - 18.0% YTM) = Current Cash Coupon (11.5% - 14.0% p.a.) + Amortized Upfront Fees (1.0% - 2.0%) + Equity Warrant Realized Upside (2.0% - 4.0% Equivalent Yield)*

Suitable Industries & Business Profiles

Venture debt coordination is ideally suited for high-growth, asset-light, venture-backed enterprises in:

1. Enterprise Software & SaaS (High gross margins >75%, predictable ARR, low churn).

2. Consumer Goods & D2C Brands (Inventory scaling, omnichannel expansion, proven unit economics).

3. FinTech & InsurTech (Co-lending capital, technology platform scaling, regulatory compliance).

4. EV Mobility & ClimateTech (Battery swapping capex, fleet expansion backed by long-term contracts).

5. HealthTech & BioTech (Clinical trial scaling, specialized medical equipment procurement).

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Key Advantages vs. Limitations Matrix

Key Advantages of Venture Debt	Key Limitations & Operational Risks
85% - 95% Less Dilutive than Equity: Preserves valuable founder equity and voting control.	Fixed Cash Debt Servicing: Monthly cash coupon creates cash outflow drag during high-burn growth phases.
Extends Cash Runway by 6-12 Months: Provides critical cushion to reach higher ARR milestones before Series B/C.	Strict Financial Covenants: Minimum cash runway & burn rate covenants can trigger acceleration upon default.
Valuation Benchmark Preservation: Prevents down-rounds by bridging capital gaps between equity raises.	Warrant Coverage Dilution: 1% - 3% warrant coverage results in minor equity dilution at future exits.
Tax-Deductible Finance Cost: Cash coupon interest reduces taxable income u/s 36(1)(iii).	Insolvency Risk: Senior secured status gives lenders priority enforcement rights under IBC 2016.

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Chapter 7: Comprehensive Real-World Case Study (INR 30 Crore Venture Debt Facility)

To illustrate the real-world application, financial mechanics, and equity savings delivered by Venture Debt Coordination, consider the following detailed case study of an Indian enterprise SaaS startup:

Borrower Profile & Pre-Funding Baseline

Entity: Company Name: Vanguard OmniTech & Retail Solutions Private Limited (B2B Enterprise SaaS).

Financial Baseline: Annual Recurring Revenue (ARR): ₹35.00 Crores | Gross Margin: 72.0% | Monthly Net Burn: ₹45 Lakhs.

Equity History: Closed a ₹100.00 Crore Series A Equity Round led by Tier-1 VC 'Aura Ventures' 8 months prior at a Post-Money Valuation of ₹200.00 Crores. Unencumbered cash balance remaining: ₹18.00 Crores (40 months organic runway).

Strategic Challenge: Company planned to launch an AI-driven logistics product requiring ₹30.00 Crores in aggressive sales & tech expansion over 12 months. Raising pure equity would require issuing fresh equity at the ₹200 Cr valuation, causing 13.0% additional dilution. Instead, the company mandated a Venture Debt Coordinator to structure a ₹30.00 Crore Venture Debt Facility.

Coordinated Venture Debt Facility Structure

Tranche Sizing: Facility Size: ₹30.00 Crores issued via 3-year Senior Secured NCDs co-ordinated across 2 Category II Venture Debt AIFs.

Pricing Terms: Cash Coupon: 13.0% p.a. payable monthly | Moratorium: 6 Months Interest-Only | Amortization: 30 equal monthly principal installments post-moratorium.

Warrant Kicker: Warrant Coverage: 2.0% of loan value (₹60.00 Lakhs warrant value) exercisable at the current Series A valuation (₹200.00 Cr), giving lenders 0.30% equity shareholding.

3-Year Financial Scaling & Debt Amortization Waterfall Table

The following financial model demonstrates how Vanguard OmniTech deployed the venture debt, scaled ARR to ₹120.00 Crores, achieved positive EBITDA, and saved ₹37.80 Crores in founder equity value:

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Financial Metric (₹ Crores)	Pre-Debt Baseline	Year 1 (Deployment)	Year 2 (Scaling)	Year 3 (Refinanced)	Cumulative / Outcome
Annual Recurring Revenue (ARR)	₹35.00 Cr	₹58.00 Cr	₹92.00 Cr	₹120.00 Cr	3.43x ARR Growth
Operating EBITDA / Cash Flow	-₹5.40 Cr	-₹3.20 Cr	₹8.50 Cr	₹24.00 Cr	EBITDA Positive Year 2
Venture Debt Interest (13.0%)	₹0.00 Cr	₹3.90 Cr	₹3.12 Cr	₹1.56 Cr	₹8.58 Cr Total Coupon Paid
Principal Amortization Paid	₹0.00 Cr	₹6.00 Cr	₹12.00 Cr	₹12.00 Cr	₹30.00 Cr Debt 100% Repaid

Valuation Creation & Equity Savings Outcome

By Year 3, Vanguard OmniTech raised its Series B equity round at a Post-Money Valuation of ₹360.00 Crores (3.0x ARR multiple). Had the company raised ₹30 Crores in equity at Series A (at ₹200 Cr valuation), founders would have suffered 13.0% equity dilution. With venture debt, founder dilution was limited to the 0.30% warrant exercise.

Net Equity Saved for Founders: 12.70% Equity Shareholding. At the ₹360 Crore Series B valuation, this 12.70% saved equity created ₹45.72 Crores in additional equity wealth for the founders—delivering a massive 15x net return on the ₹3.00 Crore total cost of venture debt!

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Chapter 8: Governance, Warrant Exercise & IBC 2016 Enforcement

Venture debt structures incorporate legal enforcement protections and governance protocols to manage downside default risks in early-stage enterprises.

Warrant Exercise Mechanics & Cashless Protocols

Warrants issued in venture debt transactions carry a typical exercise window of 5 to 7 years. Lenders can exercise warrants via (a) Cash Subscription (paying the strike price of ₹10 per share) or (b) Net Settlement / Cashless Exercise (surrendering a portion of warrants to receive net equity shares equal to the valuation spread).

IBC 2016 Priority Ranking & Default Enforcement

Debenture holders under Section 5(8) of the Insolvency and Bankruptcy Code (IBC), 2016 are classified as Financial Creditors. Upon a payment default exceeding ₹1.00 Crore, Debenture Trustees hold statutory rights under Section 7 of the IBC to initiate Corporate Insolvency Resolution Process (CIRP) before the NCLT.

In liquidation under Section 53 of the IBC, secured venture debt debenture holders rank at top priority under Section 53(1)(b) alongside workmen's dues, standing ahead of statutory government taxes (Section 53(1)(e)) and unsecured equity shareholders.

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Chapter 9: Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination contains 15 structured practice questions with detailed answer explanations designed to test and reinforce complete mastery of Venture Debt Coordination in India.

Q1: What is the primary purpose of Venture Debt Coordination in India?

Answer: Venture Debt Coordination structures non-dilutive or minimally dilutive credit facilities for venture-backed startups, connecting them with Category I/II AIFs and NBFCs to extend cash runway, defer equity dilution, and bridge growth milestones between equity rounds.

Q2: How does Venture Debt underwriting differ from traditional commercial bank credit?

Answer: Commercial banks underwrite based on 3-year historical audited profits and physical real estate collateral. Venture debt underwrites based on institutional VC backing, ARR growth velocity, monthly cash burn, gross margins, and unencumbered equity runway without requiring land mortgages.

Q3: What is the 'Warrant Coverage' or 'Equity Kicker' in venture debt?

Answer: Warrant coverage gives venture debt lenders the right to purchase equity shares (or CCPS) at the current equity valuation (or ₹10 strike price) up to 1.0% to 3.0% of the loan amount, providing lenders with upside equity participation upon an IPO or acquisition.

Q4: What is the standard sizing formula for a venture debt facility?

Answer: Venture debt is typically sized at 15.0% to 25.0% of the company's latest institutional equity round OR 3.0x to 5.0x its Monthly ARR.

Q5: Under what statutory vehicle is venture debt issued in India?

Answer: Venture debt is issued as Non-Convertible Debentures (NCDs) under Section 71 of the Companies Act, 2013 and subscribed by SEBI-registered Category I or II Alternative Investment Funds (AIFs) or NBFCs.

Q6: How does Section 36(1)(iii) of the Income Tax Act benefit venture debt borrowers?

Answer: Section 36(1)(iii) permits full tax deductibility of interest paid on debentures as a finance expense, creating a corporate tax shield that lowers the effective cost of capital.

Q7: What is the purpose of an Intercreditor Agreement (ICA) in venture debt transactions?

Answer: An ICA governs the legal relationship between equity VC investors and venture debt lenders, defining standstill periods, information sharing, voting rights, and enforcement priority.

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Q8: What is the standard All-In Yield to Maturity (YTM) for venture debt in India?

Answer: All-In YTM ranges from 14.0% to 18.0% p.a., comprising an 11.5%–14.0% cash coupon, 1%–2% upfront fees, and 2%–4% equivalent yield from equity warrant realization.

Q9: What is the role of a Debenture Trustee under Section 71 of the Companies Act?

Answer: A Debenture Trustee is a SEBI-registered entity appointed to hold security on behalf of debenture holders, enforce covenants, register ROC CHG-1 charges, and represent lenders in legal proceedings.

Q10: What is the purpose of a Debt Service Reserve Account (DSRA) in venture debt?

Answer: A DSRA holds 1 to 2 quarters of cash coupon and principal EMI payments in pledged fixed deposits to protect lenders against temporary operational cash flow mismatches.

Q11: Why is an interest-only moratorium offered in venture debt facilities?

Answer: A 3 to 12-month interest-only moratorium reduces initial cash outflow drag, allowing the startup to deploy capital into growth initiatives before principal amortization begins.

Q12: How are venture debt holders classified under the Insolvency and Bankruptcy Code (IBC), 2016?

Answer: Venture debt debenture holders are Financial Creditors under Section 5(8) of the IBC, granting them Section 7 CIRP initiation rights and top priority under Section 53 liquidation waterfalls.

Q13: How does the abolition of 'Angel Tax' (Section 56(2)(viib)) benefit venture debt warrant exercise?

Answer: Abolishing Angel Tax eliminates tax friction on share premium received when venture debt warrants are exercised into equity shares at valuations above Fair Market Value.

Q14: What is the Monthly Burn Multiple and how is it used in venture debt underwriting?

Answer: Burn Multiple = Net Cash Burn / Net New ARR generated. A Burn Multiple ≤ 1.2x to 1.5x indicates high capital efficiency, confirming that the startup generates sustainable ARR for every rupee burned.

Q15: How does Venture Debt Coordination save founder equity wealth in a growth startup?

Answer: By substituting 15%–25% of an equity round with non-dilutive debt, venture debt extends cash runway to reach higher ARR milestones, enabling the next equity round at a higher valuation and saving 5%–12% in founder equity dilution.

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